Nigeria[15]

Once a thriving agrarian economy, by the 1980s, Nigeria had become a classic example of the phenomenon known as 'the oil syndrome.'

This is best described by economist Helen Kitchen:

> In pre-oil days, Nigeria's GDP was growing at an annual rate of 4.5 per cent, agriculture was the leading economic sector, and Nigeria was one of the world's largest exporters of peanuts, palm oil, and cocoa… Oil income rose dramatically – from $189 million in 1964 to almost $24 billion in 1981. This rapid influx of foreign exchange and the massive increase in funds available to the government for public spending set in motion a self-perpetuating cycle of hyperinflation.
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> Meanwhile, thousands of Nigerians were abandoning the farming areas every year to seek the higher paying jobs that were available in the cities. By 1980, oil earnings accounted for over 90 per cent of Nigeria's foreign exchange, and agriculture had shrunk from 58 per cent of total GDP in 1964 to 20 per cent. From a position of food self-sufficiency, this largely rural nation had slipped into a significant dependency on food imports (over $2.2 billion annually as of the early 1980s).

The global recession of the early 1980s brought oil revenues plummeting downwards and Nigeria's foreign debt accumulated to almost US$ 16 billion. In a military coup on 31 December 1983, Major General Muhammadu Buhari ousted the President, Shehu Shagari, at a time when the country was facing an acute economic crisis.

The new military government promised a crackdown on corruption and inefficiency. As a key step, General Buhari demonetized the Nigerian Naira, issuing new banknotes with a different colour and forcing the replacement of old ones within a limited period.

The presumption was that money stashed away by corrupt politicians and greedy businessmen would be flushed out of the system.

The result was catastrophic for the economy. As reported in the publication *West Africa*:

> The Nigerian public reacted by shunning the banking system. Rather than deposit their savings at banks, several people went on spending sprees, buying among other things, cars, airline tickets, anything that could later be sold. Why should Nigerians